ALPHA TERMINAL FIELD GUIDE

BUILDING A CATALYST & EARNINGS TERMINAL

A field guide to turning expectations, surprises and price confirmation into event-driven research.



METHOD 02 • EXPECTATIONS MEET EVIDENCE

Trade the gap between what the market expected and what the company or event actually changed—not the headline alone.

RESEARCH SYSTEMS • INDIA • 2026

01 • PURPOSE

Measure surprise, then watch how price absorbs it

A catalyst terminal timestamps the expectation, the new information and the market response. It separates a good result from a result that was better than priced in.



THE DECISION LOOP

1

Expect

Record consensus, trend and pre-event positioning.

2

Observe

Capture the filing, release and exact timestamp.

3

Confirm

Measure abnormal price/volume response.

4

Manage

Use drift, time stops and thesis invalidation.

THE PROMISE

One screen should answer: What changed versus expectations? Was the surprise durable? Did price confirm it? Is the reward still larger than the event risk?

02 • ARCHITECTURE

Build an evidence chain, not a signal pile

Event research fails when timestamps are loose. Store what was known before the event separately from what arrived after it.



EVIDENCE STACK

Event ledger	Scheduled date, actual release time, source and revision.	CORE
Expectation base	Comparable results, guidance, estimates or explicit no-consensus state.	CORE
Fundamental delta	Revenue, margin, EPS, cash flow and guidance change.	CORE
Market response	Gap, abnormal volume and sector-relative return.	CORE
Context	Market regime, crowding proxy, liquidity and nearby catalysts.	SUPPORT

DATA CONTRACT

Never infer a surprise when no point-in-time expectation exists. Store the release timestamp, source document and every revision; distinguish reported period from publication date.

03 • RESEARCH PLAYBOOKS

Three engines, three independent reasons to care

Event alpha is usually conditional on expectations and reaction. The same number can be bullish, neutral or bearish at different prices.

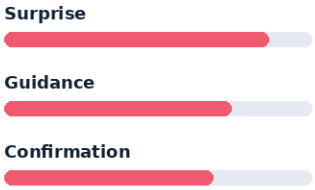
ENGINE A

Earnings surprise + revision

Test whether a clean positive surprise, improving guidance and upward forward revisions produce post-event excess return after costs.

Invalidate when: guidance reverses, estimates fall or the gap is fully rejected.

EVIDENCE GATES



ENGINE B

Gap and absorption

Separate opening emotion from institutional absorption. Look for sustained relative strength, volume and closing quality after the initial gap.

Invalidate when: price closes through the event low or abnormal volume disappears.

EVIDENCE GATES



ENGINE C

Sector read-through

Use a bellwether result to test peers only when revenue drivers, customer mix and cost exposures genuinely overlap.

Invalidate when: the peer's economics or reporting calendar breaks the transmission thesis.

EVIDENCE GATES



04 • DECISION CARD

Make every idea auditable before it becomes actionable

A good event card preserves the before/after boundary and refuses to call every beat an opportunity.

RESEARCH IDEA • ILLUSTRATIVE

Post-results drift candidate

Illustrative research card after a verified earnings release; not a live recommendation.

EVENT

Quarterly result • source verified • released after market close

SURPRISE

Revenue +4% vs expectation; margin +120 bps; guidance raised

PRICE CONFIRMATION

+3.2% gap; 2.4× volume; closes in top quartile of range

RISK BUDGET

0.35% portfolio risk • no averaging down • liquidity checked

HORIZON

5/20-session abnormal return versus sector and NIFTY 50

INVALIDATION

Event low breaks, revision breadth turns negative or filing changes.

DECISION RESEARCH • enter only after timestamp and liquidity checks pass

THE FIVE GATES

- ✓ Fresh
- ✓ Independent
- ✓ Point-in-time
- ✓ Sized
- ✓ Falsifiable

NO-GO RULE

Do not trade a 'surprise' sourced from a revised estimate, an undated screenshot or a filing published after the price move being studied.

05 • PROOF

Backtest the decision process, not the story

Event studies need exact clocks, clean controls and deconflicted windows.

WALK-FORWARD DESIGN

BUILD	VALIDATE	HOLD OUT
Rules + thresholds	Tune once	No peeking

WHAT THE TEST MUST REPORT

Abnormal return

Versus sector and broad benchmark.

Drift curve

1, 5, 20 and 60-session path.

Gap retention

How much of day-one move survives.

Drawdown

Adverse excursion after entry.

Liquidity

Capacity and slippage by turnover bucket.

Revision breadth

Direction and persistence after the event.

BIAS CHECK

- Do not backfill consensus estimates after the result is known.
- Do not mix pre-open, intraday and after-close events without separate clocks.
- Do not attribute overlapping macro and company events to one catalyst.
- Do not exclude delisted, suspended or loss-making event outcomes.

PASS CONDITION

Promote a catalyst only when the timestamp is auditable, abnormal return survives matched controls and the edge persists after realistic gap slippage.

06 • WORKFLOW

Turn research into a repeatable operating cadence

The calendar drives preparation; evidence drives action.

DAILY → WEEKLY → MONTHLY

DAILY

Prepare the event book

Verify today's releases, timestamps, liquidity and expectation snapshots before the event.

EVENT

Run the reaction protocol

Parse filing; compute surprise; observe gap, volume and relative close; issue a card only if gates pass.

WEEKLY

Review the drift

Update post-event paths, revisions, thesis decay and time stops; log false positives.

90-DAY BUILD ROADMAP

DAYS 1–30

Event ledger

Official filings, calendars, release clocks and comparable financial schema.

DAYS 31–60

Reaction engine

Surprise, guidance delta, abnormal return, volume and peer controls.

DAYS 61–90

Drift playbooks

Walk-forward event studies, trade cards, capacity and monitoring.

07 • OUTCOMES

Judge the terminal by decision quality, not prediction theatre

The terminal succeeds when it makes the surprise measurable and the event risk explicit.

THE SCOREBOARD

TIMESTAMP QUALITY

100% verified

No floating event clocks.

EXPECTATION COVERAGE

Explicit or unavailable

Never silently inferred.

EVENT ATTRIBUTION

Deconflicted windows

Macro overlap tagged.

SLIPPAGE

Gap-aware

No close-to-close fantasy.

DRIFT STABILITY

Across sectors + years

Not one earnings season.

THESIS DECAY

Time stop tracked

Capital is released.

NON-NEGOTIABLE GUARDRAILS

- ✓ **Use official filings and preserve original publication times.**
- ✓ **Separate reported facts, expectation deltas and market interpretation.**
- ✓ **Do not treat a positive result as a positive surprise by default.**
- ✓ **Size for gap risk and avoid leverage around binary events.**

SOURCES AND BOUNDARIES

Primary candidates: NSE/BSE corporate filings and official company releases; reviewed macro calendars; point-in-time estimate feeds where licensed; audited price and volume histories. PG-terminal already contains an earnings import foundation and an official-event calendar framework.

Research and education only. Alpha is uncertain; losses are possible.